INVESTING

SMALL AND FULL OF POTENTIAL

Investing in small-cap funds could be risky, but they also provide an upside that can be a significant wealth creation strategy



Illustration by SIDDHANT JUMDE

Investing in equity mutual funds is all about choosing the size of businesses to invest in. Very big businesses are regularly in the news for even the uninitiated investor to have heard of them. This may not be true of many businesses that fall in the small-cap segment of the stock markets. Smaller companies tend to have a focused business but have the potential to grow in revenues as well as profit in the long run, compared to many large ones that have a diversified multi-line business. Investors who can stomach risk find investing in small-cap funds as an opportunity to make significant gains.

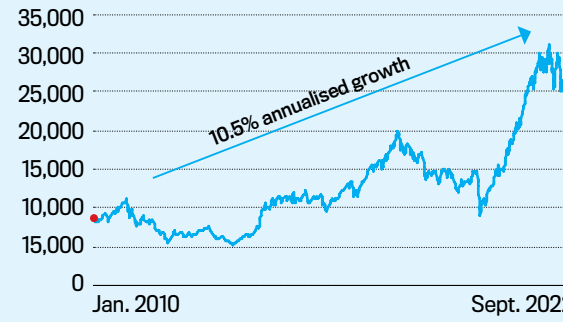
Small-cap mutual funds, as per the SEBI (Securities and Exchange Board of India) mutual fund classification, are those funds that invest at least 80 per cent of their total assets in small cap companies. According to the SEBI framework, the top 100 stocks by market capitalisation are defined as large-caps; the next 150 are mid-caps; and the rest small-caps. So companies that fall after the 250th position on the list based on market capitalisation are small-cap stocks, which small cap mutual funds predominantly invest in.

WHY SMALL CAP FUNDS?

Investing in equities is about growth and making profits. Large-cap funds tend to invest in companies that have well diversified business structures than smaller firms. They are less exposed to volatility and swings in their revenues and growth from year-to-year. However, smaller businesses have the potential for much faster growth due to their size and the phase of business cycle they are in. Investors who are looking for a faster growth in their investments prefer to invest in these funds as an opportunity within their overall allocation to equities.

If you go by the returns posted by the S&P BSE Small Cap Index and the S&P BSE Sensex over the past four years, there is a

BSE SMALL CAP GROWTH



SMALL-CAP ATTRACTION

FUTURE LEADERS
Fundamentally sound, well-managed small companies that have the potential to become future leaders

HIGH GROWTH POTENTIAL
There is growth prospect as the companies are in the early stage of their life cycle

VALUATION RE-RATING
Quality stocks always get re-rated in their growth phases, so have higher growth potential

RE-RATING OF SHARE PRICES
Once re-rated, the companies are fairly valued leading to an appreciation in share price